GST: India's Goods and Services Tax

Introduction to GST

The Goods and Services Tax (GST) is a single, comprehensive indirect tax on the supply of goods and services in India. It replaced a complicated web of taxes levied separately by the Centre and the states, such as excise duty, service tax, value added tax (VAT), central sales tax, entry tax, octroi and luxury tax, with the idea of "One Nation, One Tax, One Market". GST is a destination-based tax, which means that the tax is collected where the goods or services are consumed, and it is levied at every stage of the supply chain, but with a credit mechanism so that only the value added at each stage is taxed in the end and the final consumer bears the tax. The aim of GST is to remove the cascading effect of tax on tax, simplify compliance, widen the tax base, improve efficiency in transporting goods across states by removing check posts and boost economic growth.

When Was GST Introduced?

GST was introduced in India on 1 July 2017. The Constitution (101st Amendment) Act, 2016 enabled it, after many years of discussion that began with the Kelkar Task Force in 2003 and a proposal in the Budget speech of 2006. The GST was launched at a special midnight session of Parliament in the Central Hall on 30 June and 1 July 2017, with the President Pranab Mukherjee and Prime Minister Narendra Modi pressing the button. The day, 1 July, is celebrated as GST Day each year. India followed more than 160 countries that already had a form of GST or VAT, with France being the first to introduce it in 1954. The GST Network (GSTN) is the technology platform that runs registration, returns and payments. Every GST-registered business has a 15-digit GST Identification Number (GSTIN).

The GST Council

The GST Council is the constitutional body that makes decisions on GST rates, rules and exemptions. It is chaired by the Union Finance Minister, with the Union Minister of State for Finance and the finance ministers of all states and union territories as members. Decisions require a three-fourths majority of weighted votes, in which the Centre has one-third of the weight and the states together have two-thirds. This model reflects cooperative federalism. The Council meets several times each year.

What Are the GST Slabs?

GST is charged at different rates, called slabs, depending on the type of goods and services. From its introduction in 2017, the main slabs were 0 percent (exempt, for items such as fresh vegetables, milk, grains and books), 5 percent (essentials such as packaged food and transport), 12 percent, 18 percent (the standard rate for most goods and services) and 28 percent for luxury and sin goods, with additional compensation cess on items such as cars, tobacco and aerated drinks. Gold and silver were taxed at 3 percent, and rough diamonds at 0.25 percent.

In September 2025, the GST Council approved a major simplification, often called GST 2.0, which came into effect on 22 September 2025. It reduced the main structure to two standard rates, 5 percent and 18 percent, by merging the 12 percent slab largely into 5 percent and the 28 percent slab largely into 18 percent, while a special higher rate of 40 percent applies to a small list of luxury and "sin" goods such as tobacco products, pan masala and high-end cars. Essential items such as many food products, medicines and insurance were made cheaper or exempt, and special low rates for precious metals and stones continue. The compensation cess was being phased out. Because rates are reviewed by the GST Council from time to time, readers should check the latest rate schedule on the official GST portal.

What Are CGST and SGST?

GST has a dual structure, with both the Centre and the states levying tax on the same transaction. CGST stands for Central Goods and Services Tax, which is collected by the Central Government on the supply of goods and services within a state (intra-state). SGST stands for State Goods and Services Tax, which is collected by the State Government on the same intra-state supply. For a Union Territory without a legislature, UTGST applies in place of SGST. IGST stands for Integrated Goods and Services Tax, which is levied by the Central Government on inter-state supplies and on imports, and later shared with the destination state.

For example, if a shop in Chennai sells a product for Rs. 1,000 within Tamil Nadu and the GST rate is 18 percent, the total tax is Rs. 180, of which Rs. 90 (9 percent) is CGST going to the Centre and Rs. 90 (9 percent) is SGST going to Tamil Nadu. If the same product is sold from Chennai to a buyer in Karnataka, the entire 18 percent, Rs. 180, is charged as IGST. The Centre then transfers the state's share to Karnataka, where the goods are consumed.

Input Tax Credit

Input Tax Credit (ITC) is the central feature of GST. A business can subtract the GST it has already paid on its purchases (inputs) from the GST it collects on its sales (output), and pay only the difference to the government. For instance, if a manufacturer pays Rs. 100 of GST on raw materials and collects Rs. 150 of GST on sales, it pays Rs. 50 to the government. This avoids tax on tax and makes exports tax-free, because exporters get refunds of GST on inputs.

Registration and Compliance

Businesses must register under GST if their annual turnover is above Rs. 40 lakh for goods suppliers (Rs. 20 lakh for service providers) in most states, with lower limits for special category states and some cases such as inter-state supply, though small businesses can use the Composition Scheme with a lower rate and simpler returns. Businesses file returns such as GSTR-1 for sales and GSTR-3B for the summary, issue tax invoices and use e-invoicing and e-way bills for transporting goods. Items kept outside GST include petroleum products, alcohol for human consumption and electricity, which remain under state and central taxes.

GST Collections and Impact

GST collections have grown strongly: monthly gross collections went from about Rs. 90,000 crore in the early days to more than Rs. 2 lakh crore, with a record of about Rs. 2.37 lakh crore in April 2025. Tamil Nadu is among the top contributing states. GST has helped to unify the national market, reduce check posts and waiting times for trucks, formalise many businesses, and raise tax compliance, though small traders have faced compliance challenges, and the states initially worried about losing revenue, which led to a compensation arrangement for five years up to June 2022.

GST in Everyday Life

Consumers see GST on bills for restaurant meals, mobile recharges, movie tickets, hotel stays and packaged goods. Basic items such as unpackaged rice, milk and vegetables are exempt, and education and healthcare services are largely exempt. The GST rate on a product can be checked on the invoice, and the "Mera Bill Mera Adhikaar" invoice incentive scheme encourages customers to ask for bills.

Challenges and Future

Challenges include multiple rates in the past, the need for simplified compliance, disputes about classification of goods, refund delays, and demands to bring fuel under GST. The reforms of 2025 aim to simplify the rate structure, and discussions continue about the GST Appellate Tribunal and possibly widening the base.

Quick Facts

- GST was introduced on 1 July 2017; 1 July is GST Day.

- From 22 September 2025, the main GST rates are 5 percent and 18 percent, with 40 percent for a few luxury and sin goods; earlier slabs were 5, 12, 18 and 28 percent.
- CGST is collected by the Centre and SGST by the state on intra-state supplies; IGST applies to inter-state supplies and imports.
- The GST Council is chaired by the Union Finance Minister.
- GST was enabled by the Constitution (101st Amendment) Act, 2016.